

Interposer is a better business than we thought

Reduced spending and more solid customer commitment to drive faster breakeven; upgrade to Buy from Neutral

Milder VSMC ramp-up dilution might unlock EPS upside

Vanguard (VIS) guided 2Q26E wafer shipments to grow 11-13% q-q and blended ASP to increase 2-4% q-q (*Fig. 2*; mostly due to pricing uplift), implying c.15% q-q wafer revenue growth (in USD terms). This is in line with our preview and underpinned by pricing tailwinds and power management (PM) strength holding the utilization rate (UTR) above 85% (*report*). Management indicated that customers would consign tools to its new 12" fab (VSMC), and VSMC would add interposers to the production portfolio (on top of analog/mixed-signal), which would together possibly lead to a faster ramp-up. This echoes our view that the site could absorb the 65nm silicon interposer/local silicon interconnect (LSI) production outsourced by TSMC (2330 TT, Buy) on top of some mature-node demand moving out from TSMC by as early as 2027-28F (*report*). VIS plans to reduce both VSMC's capex budget (from USD7.8bn to USD6.7bn), due to tool consignments, and VSMC's installed capacity target by 2029E (from 55kwp to 44kwp), due to more cleanroom space needed for interposer production. We believe VIS' depreciation curve would still peak out in 2029-30F. In our view, a more concrete UTR planning might drive the fab toward our faster breakeven scenario by simulation (*report*), but more importantly, the reduced spending (and therefore, lower fixed charges) could unlock the capped EPS upside along with better GM fall-through from interposer/LSI outsourcing given more favorable pricing, for a milder ramp-up impact vs prior guidance of "high single-digit GM dilution". This should alleviate our concerns and support a more positive stance and hence, we upgrade our rating to Buy from Neutral. We raise our 2026F/27F EPS by 14%/28% factoring in higher ASP and GM. Our new TP is TWD178 (TWD140 previously) based on 30x (unchanged) 2027F EPS of TWD5.94, which is at the high end of VIS's historical trading band, discounting potential analog/mixed-signal and interposer/LSI opportunities flowing out of TSMC. VIS currently trades at 27x 2026F P/E.

Other highlights from the earnings call

(1) Outlook: While peers estimate about mid-teens revenue growth for 2026E, Vanguard expects to outperform its peers and look for 85-90% UTR going forward as it has some unfulfilled demand. Meanwhile, it sees some customers seeking long-term capacity supports as some leading foundries are consolidating their 8" fab capacity. **(2) Demand for VSMC:** While VSMC enables customers' access to supply chain resilience or geographical diversification, it also fulfills the needs for more digital controller contents and higher power in certain PMIC and analog chips.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	48,591	55,419	57,359	63,855	71,051	0	85,449	
Reported net profit (mn)	7,908	9,248	10,583	8,561	10,916	0	12,019	
Normalised net profit (mn)	7,908	9,248	10,583	8,561	10,916	0	12,019	
FD normalised EPS	4.30	5.03	5.76	4.66	5.94		6.54	
FD norm. EPS growth (%)	2.2	17.0	33.8	-7.4	3.1		10.1	
FD normalised P/E (x)	35.8	—	26.8	—	25.9	—	23.6	
EV/EBITDA (x)	18.3	—	16.7	—	14.6	—	12.8	
Price/book (x)	4.5	—	4.2	—	4.1	—	3.9	
Dividend yield (%)	2.9	—	2.9	—	2.9	—	2.9	
ROE (%)	12.4	14.4	16.0	13.2	15.7		16.5	
Net debt/equity (%)	net cash	73.0	43.4	126.2	86.5		117.2	

Source: Company data, Nomura estimates

Rating
Up from Neutral

Buy

Target price
Increased from
TWD 140.00

TWD 178.00

Closing price
5 May 2026

TWD 154.00

Implied upside

+15.6%

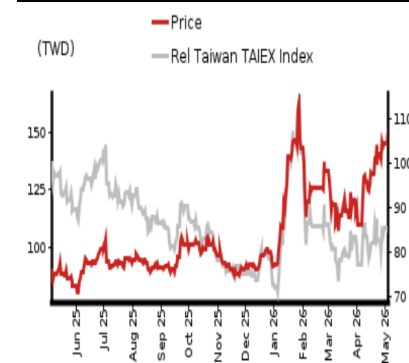
Market Cap (USD mn)

9,096.6

ADT (USD mn)

119.3

Relative performance chart



Source: LSEG, Nomura

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Key data on Vanguard

Performance

(%)	1M	3M	12M		
Absolute (TWD)	40.0	35.7	71.7	M cap (USDmn)	9,096.6
Absolute (USD)	41.6	35.9	61.7	Free float (%)	56.2
Rel to Taiwan	15.0	7.7	-26.6	3-mth ADT (USDmn)	119.3
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	44,055	48,591	57,359	71,051	85,449
Cost of goods sold	-32,122	-34,937	-39,199	-50,592	-61,357
Gross profit	11,933	13,654	18,161	20,460	24,093
SG&A	-4,822	-5,880	-7,187	-8,588	-10,254
Employee share expense	0	0	0	0	0
Operating profit	7,111	7,773	10,973	11,871	13,839
EBITDA	15,733	16,326	20,575	25,604	31,241
Depreciation	-8,622	-8,552	-9,602	-13,733	-17,403
Amortisation	0	0	0	0	0
EBIT	7,111	7,773	10,973	11,871	13,839
Net interest expense	1,754	1,554	1,306	886	231
Associates & JCEs	-64	-145	-26	0	0
Other income	-49	68	51	0	0
Earnings before tax	8,752	9,251	12,304	12,757	14,070
Income tax	-1,705	-1,480	-1,953	-2,041	-2,251
Net profit after tax	7,047	7,770	10,351	10,716	11,819
Minority interests	-1	137	232	200	200
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	7,046	7,908	10,583	10,916	12,019
Extraordinary items	0	0	0	0	0
Reported NPAT	7,046	7,908	10,583	10,916	12,019
Dividends	-8,400	-8,403	-8,402	-8,402	-8,402
Transfer to reserves	-1,353	-496	2,181	2,514	3,617

Valuations and ratios

Reported P/E (x)	36.6	35.8	26.8	25.9	23.6
Normalised P/E (x)	36.6	35.8	26.8	25.9	23.6
FD normalised P/E (x)	36.6	35.8	26.8	25.9	23.6
Dividend yield (%)	2.9	2.9	2.9	2.9	2.9
Price/cashflow (x)	10.4	11.1	11.6	14.4	11.1
Price/book (x)	4.5	4.5	4.2	4.1	3.9
EV/EBITDA (x)	16.3	18.3	16.7	14.6	12.8
EV/EBIT (x)	36.2	38.9	31.4	31.6	29.0
Gross margin (%)	27.1	28.1	31.7	28.8	28.2
EBITDA margin (%)	35.7	33.6	35.9	36.0	36.6
EBIT margin (%)	16.1	16.0	19.1	16.7	16.2
Net margin (%)	16.0	16.3	18.5	15.4	14.1
Effective tax rate (%)	19.5	16.0	15.9	16.0	16.0
Dividend payout (%)	119.2	106.3	79.4	77.0	69.9
ROE (%)	12.8	12.4	16.0	15.7	16.5
ROA (pretax %)	8.5	6.0	5.9	5.2	5.3

Growth (%)

Revenue	15.1	10.3	18.0	23.9	20.3
EBITDA	15.5	3.8	26.0	24.4	22.0
Normalised EPS	-6.4	2.2	33.8	3.1	10.1
Normalised FDEPS	-6.4	2.2	33.8	3.1	10.1

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	15,733	16,326	20,575	25,604	31,241
Change in working capital	-6,436	13,991	-2,515	-4,715	-3,814
Other operating cashflow	15,433	-4,877	6,315	-1,155	-2,020
Cashflow from operations	24,731	25,439	24,375	19,733	25,408
Capital expenditure	-15,908	-63,264	-64,280	-43,000	-43,000
Free cashflow	8,823	-37,825	-39,905	-23,267	-17,592
Reduction in investments	4,357	1,183	327	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-148	2,370	6	0	0
CF after investing acts	13,033	-34,271	-39,572	-23,267	-17,592
Cash dividends	-7,375	-8,400	-8,403	-8,402	-8,402
Equity issue	17,593	0	0	0	0
Debt issue	2,996	7,519	41,156	15,000	30,000
Convertible debt issue	0	0	0	0	0
Others	3,875	16,409	7,636	0	0
CF from financial acts	17,088	15,528	40,389	6,598	21,598
Net cashflow	30,121	-18,744	816	-16,668	4,006
Beginning cash	27,699	57,820	39,076	39,893	23,224
Ending cash	57,820	39,076	39,893	23,224	27,230
Ending net debt	-36,836	-10,696	29,641	61,310	87,304

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	57,820	39,076	39,893	23,224	27,230
Marketable securities	8,929	2,640	2,184	2,184	2,184
Accounts receivable	12,356	15,445	8,871	11,261	13,420
Inventories	6,221	6,937	8,818	11,912	14,114
Other current assets	886	2,799	9,929	9,929	9,929
Total current assets	86,211	66,897	69,695	58,510	66,877
LT investments	7,448	9,420	8,827	8,827	8,827
Fixed assets	44,141	113,869	159,747	189,014	214,611
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	10,905	10,282	11,048	11,048	11,048
Total assets	148,706	200,469	249,317	267,399	301,363
Short-term debt	0	10,520	7,210	7,210	7,210
Accounts payable	1,416	1,724	2,191	2,960	3,507
Other current liabilities	19,959	39,360	38,815	38,815	38,815
Total current liabilities	21,375	51,604	48,216	48,985	49,532
Long-term debt	20,984	17,860	62,324	77,324	107,324
Convertible debt	0	0	0	0	0
Other LT liabilities	37,679	47,415	44,278	44,278	44,278
Total liabilities	80,039	116,879	154,818	170,587	201,134
Minority interest	4,563	19,713	26,149	25,949	25,749
Preferred stock	0	0	0	0	0
Common stock	37,532	37,686	38,500	38,500	38,500
Retained earnings	27,610	27,104	29,415	31,929	35,546
Proposed dividends	0	0	0	0	0
Other equity and reserves	-1,037	-913	434	434	434
Total shareholders' equity	64,104	63,877	68,349	70,863	74,480
Total equity & liabilities	148,706	200,469	249,317	267,399	301,363

Liquidity (x)

Current ratio	4.03	1.30	1.45	1.19	1.35
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	1.44	2.39	2.79
Net debt/equity (%)	net cash	net cash	43.4	86.5	117.2

Per share

Reported EPS (TWD)	4.21	4.30	5.76	5.94	6.54
Norm EPS (TWD)	4.21	4.30	5.76	5.94	6.54
FD norm EPS (TWD)	4.21	4.30	5.76	5.94	6.54
BVPS (TWD)	34.34	34.21	36.61	37.95	39.89
DPS (TWD)	4.50	4.50	4.50	4.50	4.50

Activity (days)

Days receivable	76.1	104.4	77.4	51.7	52.9
Days inventory	67.6	68.7	73.4	74.8	77.6
Days payable	13.6	16.4	18.2	18.6	19.3
Cash cycle	130.1	156.7	132.5	107.9	111.2

Source: Company data, Nomura estimates

Company profile

Vanguard International Semiconductor Corporation is a semiconductor foundry service provider that specializes 8-inch wafer fabrication founded in 1994. Its product lines could roughly be divided into display driver ICs and power management platforms.

Valuation Methodology

Our TP of TWD178.00 is based on 30x 2027F P/E. Our target P/E multiple of 30x is at the high end of VIS's valuation. Our benchmark index is TWSE Index.

Risks that may impede the achievement of the target price

Major upside risks: (1) larger-than-expected price hike magnitude for 8" foundries; (2) stronger-than-expected demand increase in automotive; (3) faster-than-expected progress in ramping up incremental fab capacity; and (4) faster-than-expected outsourcing from global IDMs. Major downside risks: (1) shortage of 8" fab supply accelerates customers' migration to 12"; (2) oversupply after major 8" foundries' capacity expansion; and (3) weaker-than-expected end-product sell-through.

ESG

VIS founded a corporate sustainability committee in 2012 to set regulations and goals for ESG activities. Major aspects include governance and innovation, green manufacturing, responsible supply chain, friendly workplace and common good. VIS' core ESG mission of "pursuing corporate growth through sustainable thinking" could be evidenced by the pay hike in January 2021 after VIS consequently generated robust profits.

Financial analysis and forecasts

Fig. 1: Vanguard's 1Q26 results vs Nomura forecasts and Bloomberg pre-results consensus

(TWD mn)	1Q26							
	Actual	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.
Revenue	12,532	-0.5%	12,305	-2.3%	1.8%	12,568	-0.2%	-0.3%
Gross profit	3,671	6.0%	3,571	3.1%	2.8%	3,636	4.9%	1.0%
- Opex	(1,584)	-4.5%	(1,489)	-10.2%	6.4%	(1,560)	-5.9%	1.5%
Operating profit	2,087	15.5%	2,082	15.2%	0.3%	2,075	14.9%	0.6%
Pretax profit	2,437	16.3%	2,465	17.7%	-1.2%	2,332	11.3%	4.5%
Net profit	2,246	28.5%	2,121	21.4%	5.9%	1,918	9.8%	17.1%
EPS (TWD)	1.22	28.5%	1.15	21.4%	5.9%	1.04	9.1%	17.8%
Margin	Actual		NMR		Diff.	BBG		Diff.
Gross margin	29.3%		29.0%		28bps	28.9%		37bps
- Opex ratio	-12.6%		-12.1%		-54bps	-12.4%		-22bps
Operating margin	16.7%		16.9%		-26bps	16.5%		14bps
Pretax margin	19.4%		20.0%		-59bps	18.6%		89bps
Net margin	17.9%		17.2%		69bps	15.3%		266bps

Note: Nomura estimates for 1Q26 are pre-results.

Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: Vanguard's 2Q26E guidance vs Nomura forecasts and Bloomberg pre-results consensus

(TWD mn)	2Q26E								Remarks
	Guidance	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	
Revenue	14,270	13.9%	13,537	10.0%	5.4%	13,765	9.5%	3.7%	Wafer shipments +11-13% q-q
Gross profit	4,566	24.4%	3,978	11.4%	14.8%	4,230	16.4%	8.0%	Blended ASP +2-4% q-q
- Opex			(1,638)	10.0%		(1,646)	5.5%		FX: TWD31.3/USD
Operating profit			2,340	12.4%		2,584	24.5%		
Pretax profit			2,679	8.7%		2,814	20.7%		
Net profit			2,301	8.5%		2,313	20.6%		
EPS (TWD)			1.25	8.5%		1.22	17.6%		
Margin	Guidance		NMR		Diff.	BBG		Diff.	Remarks
Gross margin	32.0%		29.4%		261bps	30.7%		127bps	31-33%
- Opex ratio			-12.1%			-12.0%			
Operating margin			17.3%			18.8%			
Pretax margin			19.8%			20.4%			
Net margin			17.0%			16.8%			

Note: Nomura estimates for 2Q26 are pre-results.

Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 3: Vanguard – 2026-28F forecast revisions

(TWD mn)	2026F			2027F			2028F		
	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Revenue	57,359	55,419	3.5%	71,051	63,855	11.3%	85,449	n.a.	n.a.
Gross profit	18,161	16,378	10.9%	20,460	17,626	16.1%	24,093	n.a.	n.a.
Operating profit	10,973	9,672	13.4%	11,871	9,899	19.9%	13,839	n.a.	n.a.
Pretax profit	12,304	10,771	14.2%	12,757	9,954	28.2%	14,070	n.a.	n.a.
Net profit	10,583	9,248	14.4%	10,916	8,561	27.5%	12,019	n.a.	n.a.
EPS (TWD)	5.76	5.03	14.4%	5.94	4.66	27.5%	6.54	n.a.	n.a.
Margin	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Gross margin	31.7%	29.6%	211bps	28.8%	27.6%	119bps	28.2%	n.a.	n.a.
Operating margin	19.1%	17.5%	168bps	16.7%	15.5%	121bps	16.2%	n.a.	n.a.
Pretax margin	21.5%	19.4%	201bps	18.0%	15.6%	237bps	16.5%	n.a.	n.a.
Net margin	18.5%	16.7%	176bps	15.4%	13.4%	196bps	14.1%	n.a.	n.a.

Source: Company data, Nomura estimates

Fig. 4: Vanguard – P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2024	2025	2026F	2027F	2028F
Revenue	11,949	11,699	12,349	12,594	12,532	14,334	15,061	15,433	15,530	17,275	18,654	19,593	44,055	48,591	57,359	71,051	85,449
Revenue (USD mn)	364	376	413	406	397	458	481	493	496	552	596	626	1,372	1,559	1,829	2,270	2,730
Gross profit	3,597	3,280	3,312	3,465	3,671	4,650	4,818	5,022	4,590	5,018	5,323	5,529	11,933	13,654	18,161	20,460	24,093
- Opex	(1,359)	(1,384)	(1,480)	(1,658)	(1,584)	(1,792)	(1,883)	(1,929)	(1,926)	(2,073)	(2,238)	(2,351)	(4,822)	(5,880)	(7,187)	(8,588)	(10,254)
Operating profit	2,238	1,897	1,832	1,807	2,087	2,859	2,935	3,092	2,664	2,945	3,085	3,178	7,111	7,773	10,973	11,871	13,839
Pretax profit	2,675	2,382	2,099	2,095	2,437	3,264	3,272	3,332	2,929	3,228	3,333	3,267	8,752	9,251	12,304	12,757	14,070
Net profit	2,414	2,043	1,703	1,748	2,246	2,955	2,667	2,715	2,510	2,761	2,850	2,795	7,046	7,908	10,583	10,916	12,019
EPS (TWD)	1.31	1.11	0.93	0.95	1.22	1.61	1.45	1.48	1.36	1.50	1.55	1.52	4.21	4.30	5.76	5.94	6.54
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2024	2025	2026F	2027F	2028F
Gross margin	30.1%	28.0%	26.8%	27.5%	29.3%	32.4%	32.0%	32.5%	29.6%	29.0%	28.5%	28.2%	27.1%	28.1%	31.7%	28.8%	28.2%
- Opex ratio	-11.4%	-11.8%	-12.0%	-13.2%	-12.6%	-12.5%	-12.5%	-12.5%	-12.4%	-12.0%	-12.0%	-12.0%	-10.9%	-12.1%	-12.5%	-12.1%	-12.0%
Operating margin	18.7%	16.2%	14.8%	14.3%	16.7%	19.9%	19.5%	20.0%	17.2%	17.0%	16.5%	16.2%	16.1%	16.0%	19.1%	16.7%	16.2%
Pretax margin	22.4%	20.4%	17.0%	16.6%	19.4%	22.8%	21.7%	21.6%	18.9%	18.7%	17.9%	16.7%	19.9%	19.0%	21.5%	18.0%	16.5%
Net margin	20.2%	17.5%	13.8%	13.9%	17.9%	20.6%	17.7%	17.6%	16.2%	16.0%	15.3%	14.3%	16.0%	16.3%	18.5%	15.4%	14.1%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2024	2025	2026F	2027F	2028F
Revenue	3.4%	-2.1%	5.6%	2.0%	-0.5%	14.4%	5.1%	2.5%	0.6%	11.2%	8.0%	5.0%	15.1%	10.3%	18.0%	23.9%	20.3%
Revenue (in USD)	1.6%	3.5%	9.8%	-1.7%	-2.3%	15.5%	5.1%	2.5%	0.6%	11.2%	8.0%	5.0%	11.7%	13.6%	17.3%	24.1%	20.3%
Gross profit	8.5%	-8.8%	1.0%	4.6%	6.0%	26.7%	3.6%	4.2%	-8.6%	9.3%	6.1%	3.9%	14.2%	14.4%	33.0%	12.7%	17.8%
Operating profit	16.3%	-15.3%	-3.4%	-1.4%	15.5%	37.0%	2.7%	5.4%	-13.9%	10.5%	4.8%	3.0%	23.2%	9.3%	41.2%	8.2%	16.6%
Pretax profit	14.6%	-11.0%	-11.9%	-0.2%	16.3%	33.9%	0.3%	1.8%	-12.1%	10.2%	3.3%	-2.0%	-0.9%	5.7%	33.0%	3.7%	10.3%
Net profit	30.7%	-15.4%	-16.6%	2.6%	28.5%	31.5%	-9.7%	1.8%	-7.6%	10.0%	3.2%	-1.9%	-4.4%	12.2%	33.8%	3.1%	10.1%
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2024	2025	2026F	2027F	2028F
Revenue	24.0%	5.7%	4.6%	9.0%	4.9%	22.5%	22.0%	22.5%	23.9%	20.5%	23.9%	27.0%	15.1%	10.3%	18.0%	23.9%	20.3%
Revenue (in USD)	18.6%	10.0%	13.1%	13.4%	9.1%	21.7%	16.5%	21.5%	25.1%	20.5%	23.9%	27.0%	11.7%	13.6%	17.3%	24.1%	20.3%
Gross profit	55.5%	14.0%	-3.4%	4.5%	2.1%	41.8%	45.5%	44.9%	25.0%	7.9%	10.5%	10.1%	14.2%	14.4%	33.0%	12.7%	17.8%
Operating profit	81.5%	10.0%	-17.8%	-6.2%	-6.8%	50.7%	60.2%	71.2%	27.6%	3.0%	5.1%	2.8%	23.2%	9.3%	41.2%	8.2%	16.6%
Pretax profit	67.7%	11.0%	-21.6%	-10.2%	-8.9%	37.0%	55.9%	59.0%	20.2%	-1.1%	1.9%	-1.9%	-0.9%	5.7%	33.0%	3.7%	10.3%
Net profit	89.8%	13.6%	-20.0%	-5.4%	-7.0%	44.6%	56.6%	55.4%	11.8%	-6.5%	6.8%	2.9%	-4.4%	12.2%	33.8%	3.1%	10.1%

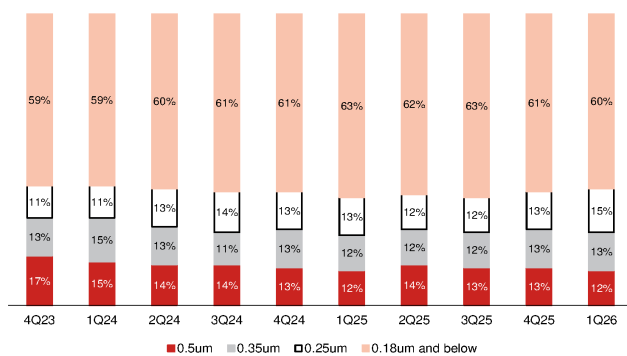
Source: Company data, Nomura estimates

Fig. 5: Nomura forecasts vs Bloomberg consensus for 2026-28F

(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Revenue	57,359	56,181	2.1%	71,051	66,617	6.7%	85,449	81,868	4.4%
Gross profit	18,161	17,236	5.4%	20,460	19,094	7.2%	24,093	22,633	6.4%
Operating profit	10,973	10,423	5.3%	11,871	12,263	-3.2%	13,839	15,945	-13.2%
Pretax profit	12,304	11,469	7.3%	12,757	13,185	-3.2%	14,070	14,776	-4.8%
Net profit	10,583	9,400	12.6%	10,916	10,834	0.8%	12,019	12,249	-1.9%
EPS (TWD)	5.76	4.96	16.0%	5.94	5.73	3.6%	6.54	6.62	-1.2%
Margin	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Gross margin	31.7%	30.7%	98bps	28.8%	28.7%	13bps	28.2%	27.6%	55bps
Operating margin	19.1%	18.6%	58bps	16.7%	18.4%	-170bps	16.2%	19.5%	-328bps
Pretax margin	21.5%	20.4%	104bps	18.0%	19.8%	-184bps	16.5%	18.0%	-158bps
Net margin	18.5%	16.7%	172bps	15.4%	16.3%	-90bps	14.1%	15.0%	-90bps

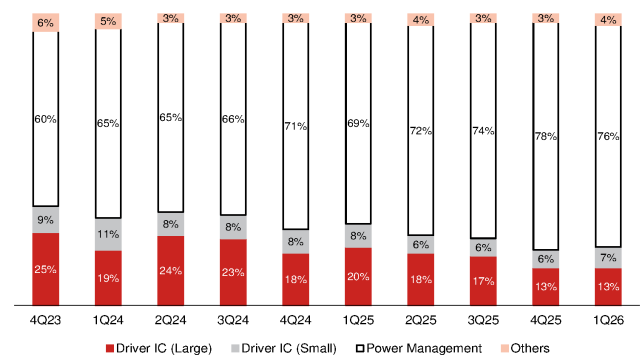
Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 6: Vanguard's wafer revenue mix by technology



Source: Company data, Nomura research

Fig. 7: Vanguard's wafer revenue mix by platform



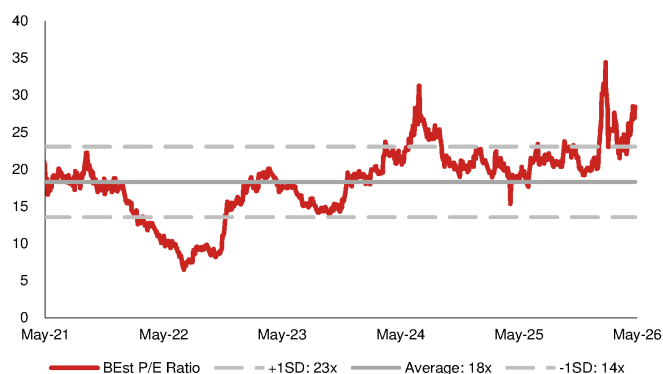
Source: Company data, Nomura research

Valuation methodology and risks

Our new TP of TWD178 is based on 30x 2027F EPS of TWD5.94. Our target P/E multiple of 30x is at the high end of VIS's historical trading band.

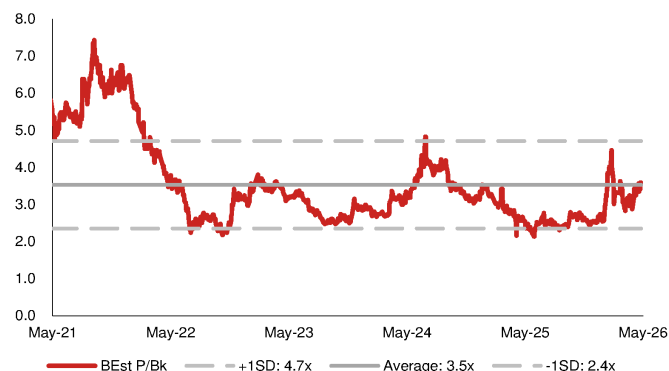
Major downside risks: (1) shortage of 8" fab supply accelerates customers' migration to 12"; (2) oversupply after major 8" foundries' capacity expansion; and (3) weaker-than-expected end-product sell-through.

Fig. 8: Vanguard – consensus P/E ratio



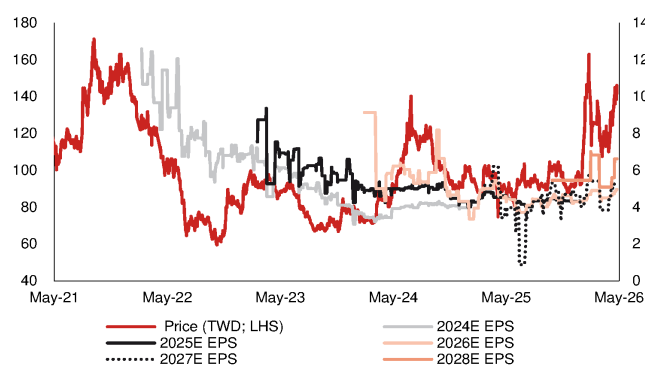
Source: Bloomberg Finance L.P., Nomura research

Fig. 9: Vanguard – consensus P/B ratio



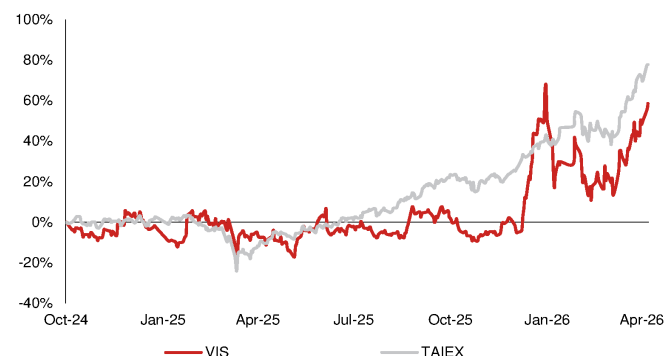
Source: Bloomberg Finance L.P., Nomura research

Fig. 10: Vanguard's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P., Nomura research

Fig. 11: Vanguard vs TAIEX price performance from late October 2024



Source: TEJ, Nomura research

Vanguard: 1Q26 analyst briefing summary

Below comments are from Vanguard's management, unless otherwise stated:

Results summary

- Revenue was TWD12.5bn (-0.5% q-q, +4.9% y-y).
 - Revenue declined q-q primarily due to a decrease in blended ASP (4%) and lower LTA income, partially offset by higher wafer shipments and 2% TWD depreciation against the USD.
 - Wafer shipments were up 3% q-q to 642kpcs 8" wafers, vs guidance +1-3% q-q.
 - Blended ASP (in USD terms) was down 4% q-q due to less favorable mix and part of LTA expiry, vs guidance of -3-5% q-q.
- GM was 29.3%, vs 27.5% in 4Q25 (+1.8pp q-q) and guidance of 28-30%, mainly due to the absence of earthquake losses (27 December 2025) and TWD depreciation, partially offset by less favorable mix and reduced LTA income.
- Opex was down 4.4% q-q. OPM was 16.7%, vs 14.3% in 4Q25.
- Effective tax rate was about 11.2% due to TWD228mn of tax credits.
- Diluted EPS was TWD1.18.
- Balance sheet
 - A/R turnover day was 51 days exiting 1Q26 vs 49 days in 4Q25.
 - Inventory turnover day was 74 days exiting 1Q26 vs 69 days in 4Q25.
 - Debt ratio was 57% exiting the quarter.

Management commentary

- Revenue breakdown by technology
 - 0.5um: 12% of revenue (-1pp) due to seasonally softer PM demand for informational appliance.
 - 0.35um: 13% (flat).
 - 0.25um: 15% (+2pp) thanks to stronger server PM demand.
 - 0.18um and below: 60% (-1pp) due to seasonally softer PM demand for informational appliance.
- Revenue breakdown by platform
 - Large-display driver ICs (13% of revenue): +3% q-q on seasonal demand rebound.
 - Small-display driver ICs (7%): +25% q-q on seasonal demand rebound.
 - Power management (76%): -2% q-q as communication and consumer electronics wafer demand was down seasonally.
 - Others (4%): +9% q-q.
- 2Q26E guidance
 - FX assumption of TWD31.3/USD.
 - Vanguard expects wafer shipments to increase 11-13% q-q driven by seasonal demand and customer inventory restocking.
 - Blended ASP to increase 2-4% q-q.
 - GM of 31-33%.
- 12" VSMC
 - Due to recent agreements with clients, customers will consign tools to VSMC for wafer production.
 - The fab will be based on 130-40nm processes for interposers, analog/mixed-signal and power management used in HPC, automotive, industrial, consumer electronics and mobile devices. VSMC will license the technologies from TSMC.
 - The fab scale-up will be faster due to consigned tools and customer commitments, and demand less capex. As a result, Vanguard has revised down the budget from USD7.8bn to USD6.7bn, in which Vanguard will contribute USD2.4bn (60% ownership), NXP (NXPI US, Not rated) will contribute USD1.6bn (40% ownership), and the remaining USD2.7bn will come from clients' long-term capacity access contract premium, loans and government fundings.
 - The fab will enter mass production in 1H27E and reach full scale at 44kwpm in 2029E (down from 55kwpm, due to mix changes and process complexity).
- Capacity
 - Plans to eliminate less fine-pitch capacity and upgrade it to finer pitch in 2026E.

- Full-year capacity at 3,306kwpa 8" (-4% y-y; unchanged).
- Plans for 277kwpm of capacity in 2Q26E (+4% q-q) due to more working days and debottlenecking.
- Capex budget & depreciation
 - Guides 2026E cash-flow capex of TWD60-70bn (unchanged), 85% of which will be allocated to VSMC and 15% to 8" fabs maintenance and capacity upgrades.
 - Vanguard estimates TWD2,250mn of depreciation charges in 2Q26E (+3% q-q).
 - Models full-year depreciation at TWD9.6bn (+12% y-y).
- Demand visibility & mix
 - Demand is recovering and growing. Currently, Vanguard has four months of demand visibility.
 - UTR was about 80% in 1Q26 and Vanguard sees it recovering to 85-90% in 2Q26E.
 - Server/Mobile PM, wearable MEMS and mixed-signal wafer shipment growth are more pronounced.
 - 0.25um mix will be higher in 2Q26E; PM and Others mix will also be higher.

Q&A

- Outlook
 - PC and smartphone semi demand has not been affected significantly in 2026, but the device sell-through has been affected by capacity crowd-out by AI (e.g., memory supply constraints leading to price inflation). Vanguard thinks semi demand should steadily grow in 2026E, unless macro drags like wars become more severe.
 - 0.25um and PM/discrete (for AI servers and smartphones), as well as MEMS and mixed-signal (for wearables) demand will be growing more meaningfully in 2Q26E.
 - Peers are looking for mid-teens revenue growth, and Vanguard should outperform them. Vanguard is looking for 85-90% UTR going forward and there is unfulfilled demand.
 - Some leading foundries are consolidating their 8" fab capacity, and Vanguard does see clients seeking for long-term support. Vanguard's business roots are in supporting client's growth.
- Pricing and profitability
 - Guides ASP to increase 3% q-q at the midpoint in 2Q26E, mostly due to pricing adjustments.
 - Looking forward, given market uncertainty, potential cost inflation and investment plans across 8" and 12" fabs, Vanguard will monitor market dynamics and negotiate pricing with clients in response to cost growth and capacity needs.
 - Vanguard has an unchanged structural profitability target.
 - Depreciation will be about TWD9.6bn in 2026E with very small amount from VSMC. Most of 12" depreciation will roll in from 2027E. VSMC thinks the depreciation curve should peak in 2029-30E after capacity builds.
- VSMC
 - VSMC will start output in 2027E, ramp up in 2028E and reach the full scale in 2029E. Given the mix changes, the GM impact will be milder than what Vanguard previously thought. It will provide more details in 2027.
 - Groundbreaking took place in Dec-24 and now it's in the stage of construction and equipment move-in. Has 200+ tools under installation and preparing for pilot runs. The first samples will come out in June and July. The volume production schedule in 1Q27E is confirmed.
 - Given the demand profile, VSMC plans to install some capacity for interposers. Will build 44kwpm of capacity in VSMC Phase 1, and the 44kwpm is fully sold out with LTA supports.
 - Previously guided to form 55kwpm by 2029E. Now VSMC is pulling in the schedule and the GM impact is milder.
 - Will reduce investment budgets in VSMC, and therefore, Vanguard expects a lower depreciation. 44kwpm of capacity is covered by LTA, and therefore, Vanguard expects decent UTRs to support GM.
 - The capacity (of Phase 1) sold out earlier than expected, and Vanguard is discussing with clients to evaluate future phases since a lot of clients are

interested in VSMC's future timelines. But it is too early to talk about the progress at this moment.

- Revenue and loading rate guidance provided before now appear to be more solid.
- Most of the demand has been in production on 12" fabs elsewhere. They moved to VSMC due to supply chain resilience factors or geographical diversification. PMIC and analog transition to 12" is to fulfill the needs for more digital controller contents (more complicated) and higher power (copper-based interconnect is better).
- Reducing the build plan of Phase 1 from 55kwpm to 44kwpm due to process complexity and mix changes.
- "Manufacturing in sites out of Taiwan (Non-Taiwan)" demand has softened but Singapore fabs have the advantages of diversification.
- Vanguard 8"
 - Plans for Fab 5 to reach 30kwpm by end-2026E. There is also headroom for 10-20kwpm. In Singapore Fab 4, there are rooms for several thousand wafers to 10k (per month). Expansion will mirror client demand commitments.
- Server
 - Vanguard estimates ~2x revenue growth from HPC server with low double-digit revenue contribution in 2026E vs low single-digit in 2025. The growth should extend into 2027E.
- Compound semi
 - GaN-on-Si is for low-voltage (<100V) and GaN-on-QST is for 650-1200V.
 - Low-voltage has been in production for a while and products could meet the demand in data center. Vanguard views GaN revenue positively.
 - GaN-on-QST Gen 2 qualification is complete and has started taking orders from customers for production.
 - 650V GaN licensed from TSMC is underway. Expects volume production in 2H27E.
 - Setting up the pilot line of SiC (almost ready in April). Works with Episil Foundry (3707 TT, Not rated) for validation and targets IDMs in the first wave (and then fabless).
- Model
 - Models similar tax rates in 2Q26E vs 1Q26. Estimates 20% for 2H26E; 16-17% for the full-year.
 - Due to VSMC startup costs from 2H25, opex will be growing. Estimates an opex ratio of 12-13% in 2026E. The opex ratio could drop in 2027E given higher revenue scales. The long-term opex ratio will be controlled within 12%.
 - TWD4.5/share dividend payout through 2029E is unchanged.

Appendix A-1

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We, Aaron Jeng, Eric Chen and Vivian Yang, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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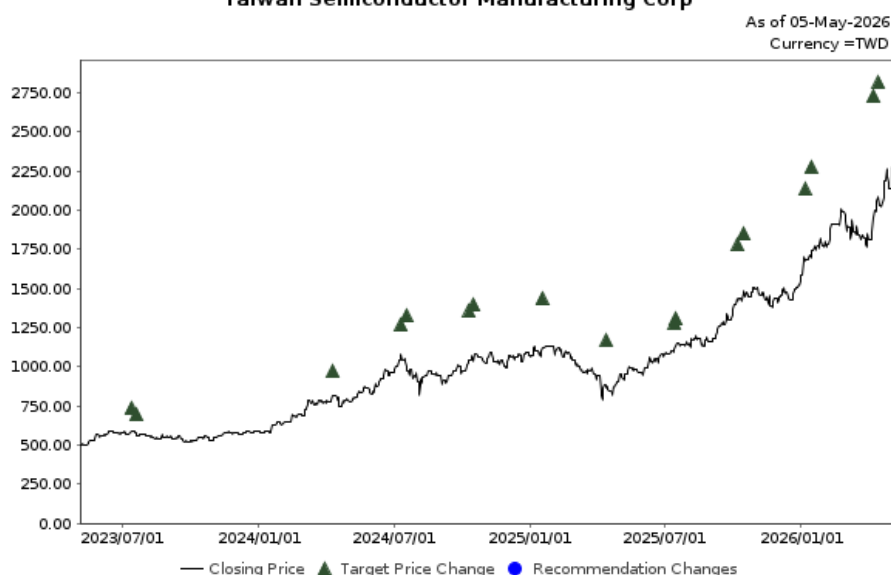
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,250.00	05-May-2026	Buy	N/A	
Vanguard	5347 TT	TWD 154.00	05-May-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT)

TWD 2,250.00 (05-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Taiwan Semiconductor Manufacturing Corp



Date	Rating	Target price	Closing price
16-Apr-26		2,820.00	2,085.00
09-Apr-26		2,735.00	1,955.00
15-Jan-26		2,280.00	1,690.00
07-Jan-26		2,135.00	1,675.00
16-Oct-25		1,855.00	1,485.00
08-Oct-25		1,780.00	1,415.00
17-Jul-25		1,310.00	1,130.00
15-Jul-25		1,280.00	1,110.00
14-Apr-25		1,170.00	865.00
17-Jan-25		1,440.00	1,120.00
17-Oct-24		1,400.00	1,035.00
11-Oct-24		1,355.00	1,045.00
18-Jul-24		1,330.00	1,005.00
11-Jul-24		1,270.00	1,080.00
10-Apr-24		975.00	815.00
20-Jul-23		700.00	579.00
13-Jul-23		740.00	585.00

For explanation of ratings refer to the stock rating keys located after chart(s)

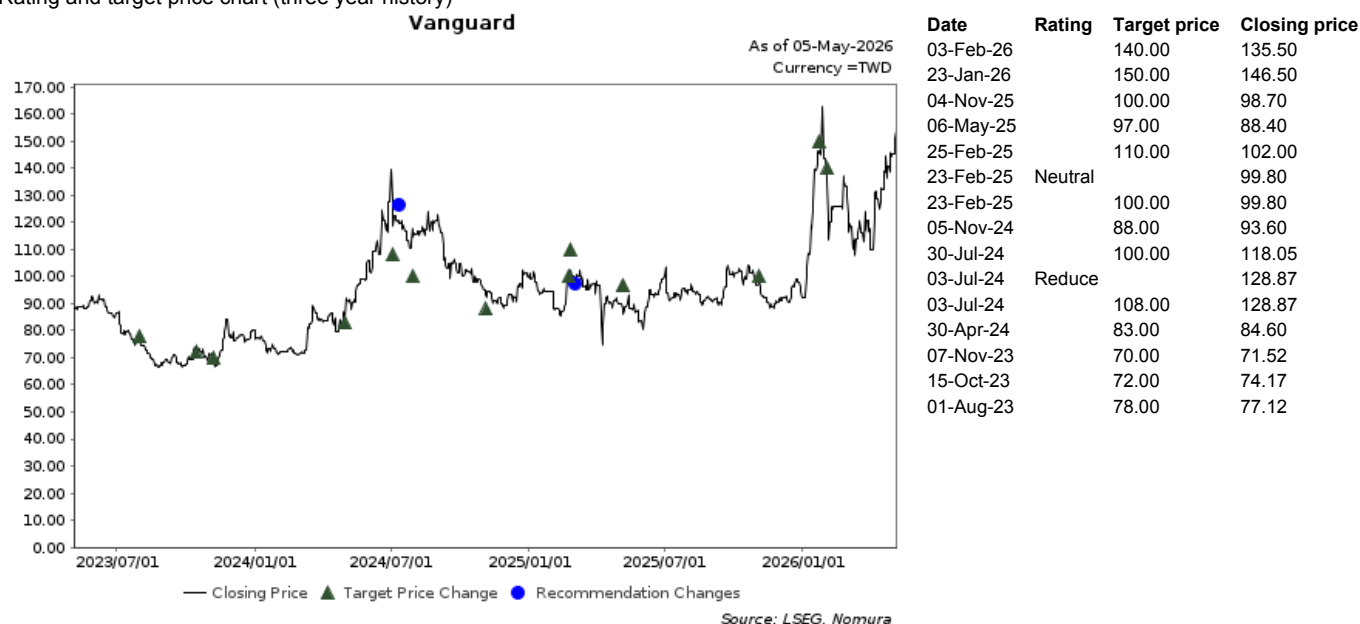
Source: LSEG, Nomura

Valuation Methodology Our TP of TWD2,820 is based on 25x 2026-27F average EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Vanguard (5347 TT)**TWD 154.00 (05-May-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD178.00 is based on 30x 2027F P/E. Our target P/E multiple of 30x is at the high end of VIS's valuation. Our benchmark index is TWSE Index.

Risks that may impede the achievement of the target price Major upside risks: (1) larger-than-expected price hike magnitude for 8" foundries; (2) stronger-than-expected demand increase in automotive; (3) faster-than-expected progress in ramping up incremental fab capacity; and (4) faster-than-expected outsourcing from global IDMs. Major downside risks: (1) shortage of 8" fab supply accelerates customers' migration to 12"; (2) oversupply after major 8" foundries' capacity expansion; and (3) weaker-than-expected end-product sell-through.

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As at 31 March 2026.

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